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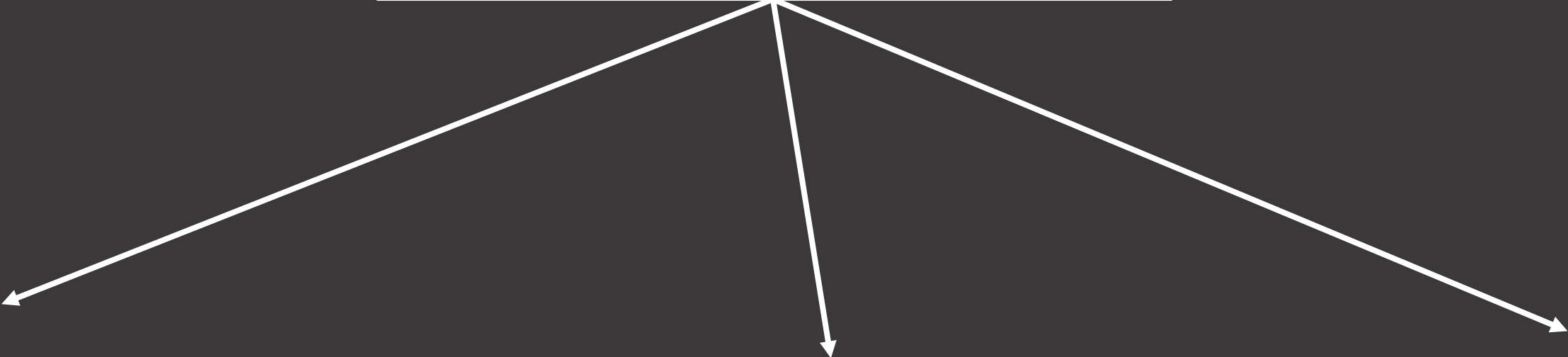
OMBUDSMAN

Public authority for Grievance redressal mechanism

If the Financial institution fails in 30 Days



RBI



Banks

NBFC's

Digital
Transactions

ONE NATION ONE OMBUDSMAN



भारतीय रिज़र्व बैंक
Reserve Bank of India
India's Central Bank

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COMPLAINTS

Grievance Redressal		
Lodge a complaint against specific Regulated Entity	Ombudsman Scheme	Complaints Against RBI
Banks	Click here to file a complaint against any Regulated Entity (banks, NBFCs, System Participants)	Against RBI
NBFCs	Reserve Bank – Integrated Ombudsman Scheme	
Prepaid Payment Instruments (PPI)	Addresses of the RBI Ombudsman	

RESERVE BANK
- INTEGRATED
OMBUDSMAN
SCHEME, 2021

November 12th 2021

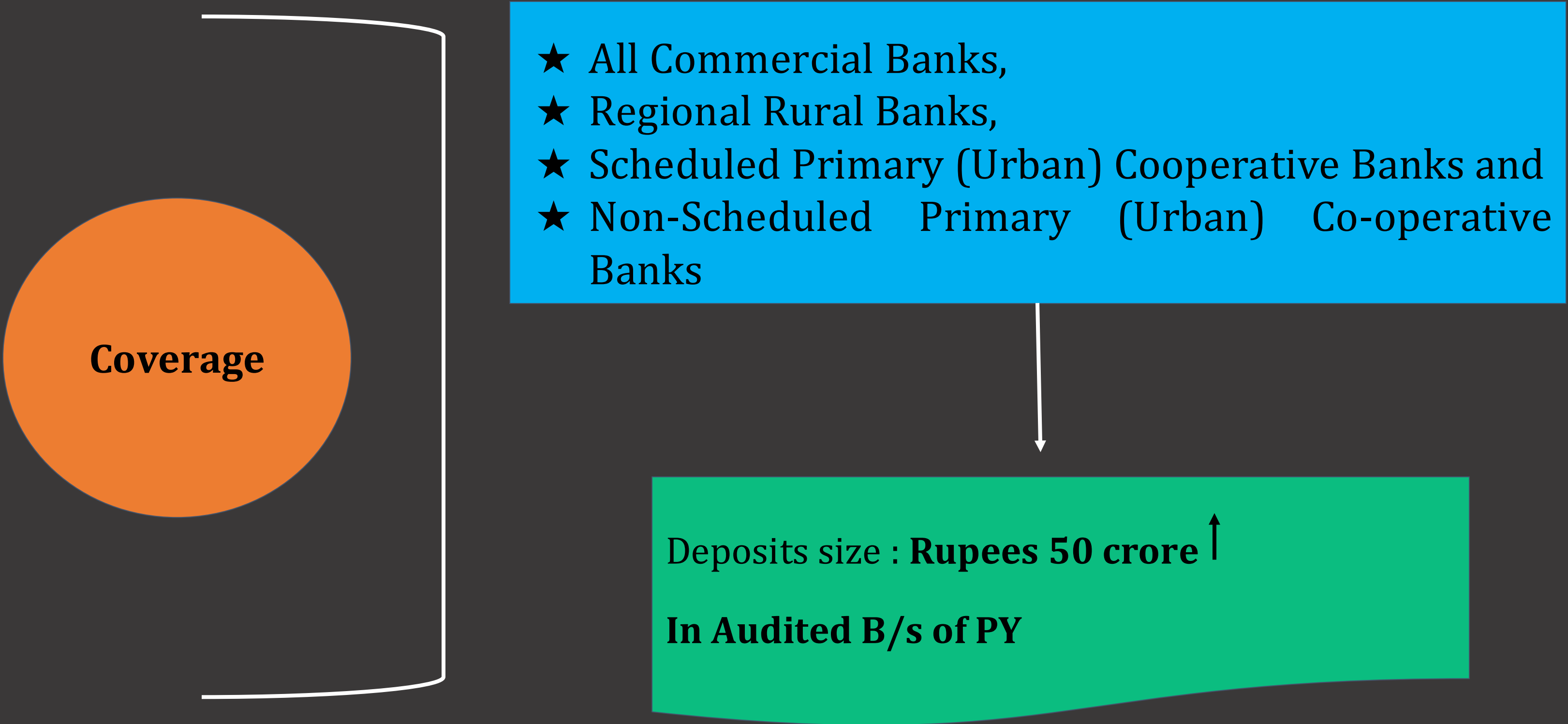
Single point Reference
to file complaints

Integrated 3 existing ombudsman scheme :

- ★ The Banking Ombudsman Scheme, 2006
- ★ The Ombudsman Scheme for Non-Banking Financial Companies, 2018;
- ★ The Ombudsman Scheme for Digital Transactions, 2019

The Banking Ombudsman Scheme, 2006

- ★ Scheme became operative **from January 01 2006**
- ★ Provided an expeditious and inexpensive forum for bank customers for resolution of complaints
- ★ Was introduced under **Clause 35A of the Banking Regulation Act, 1949** by RBI.

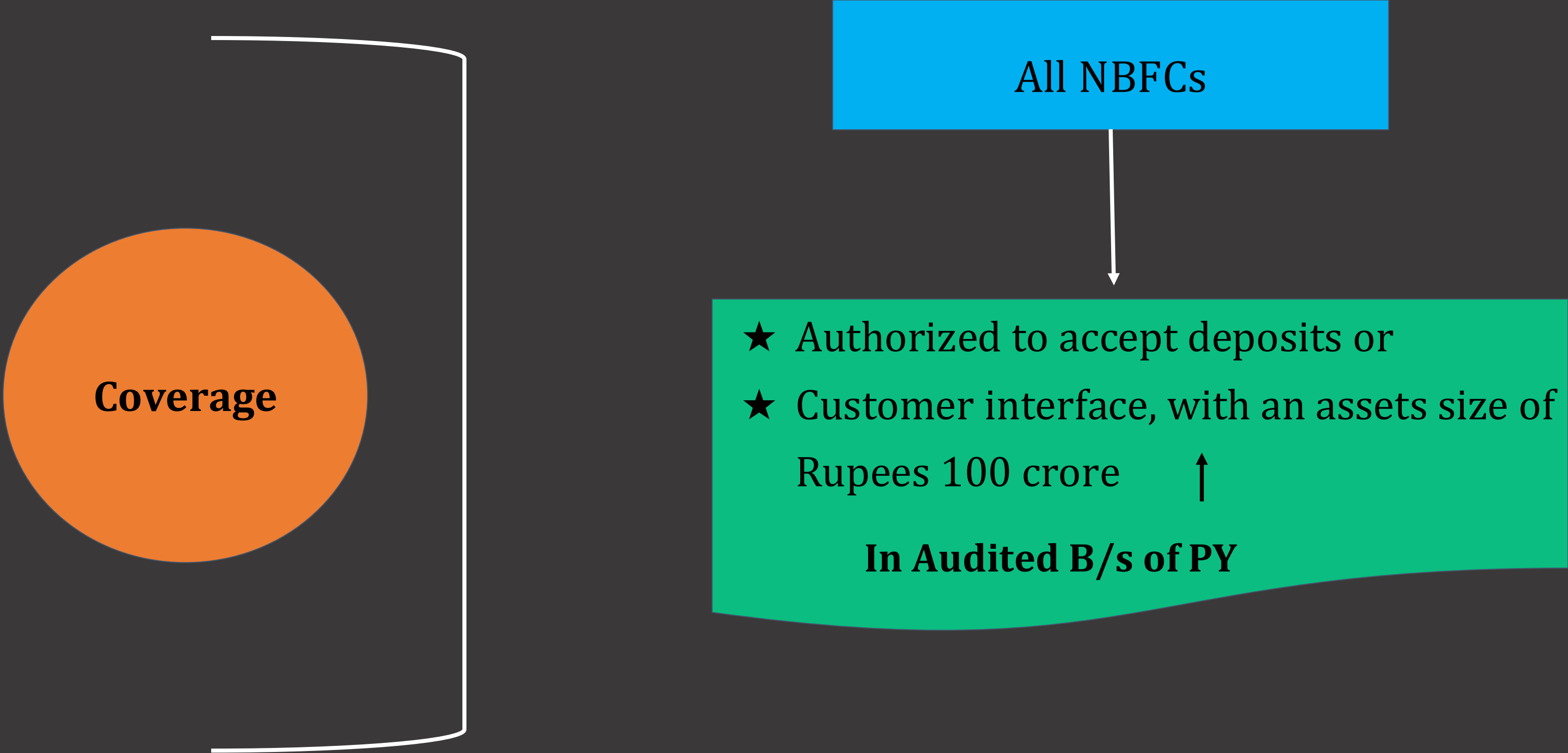


The diagram illustrates the coverage of deposits. On the left, an orange circle labeled 'Coverage' is connected by a white line to a blue box. The blue box lists four types of banks: All Commercial Banks, Regional Rural Banks, Scheduled Primary (Urban) Cooperative Banks, and Non-Scheduled Primary (Urban) Co-operative Banks. A white arrow points from the blue box to a green box. The green box contains the text 'Deposits size : Rupees 50 crore' with an upward arrow, and 'In Audited B/s of PY'.

Coverage

- ★ All Commercial Banks,
- ★ Regional Rural Banks,
- ★ Scheduled Primary (Urban) Cooperative Banks and
- ★ Non-Scheduled Primary (Urban) Co-operative Banks

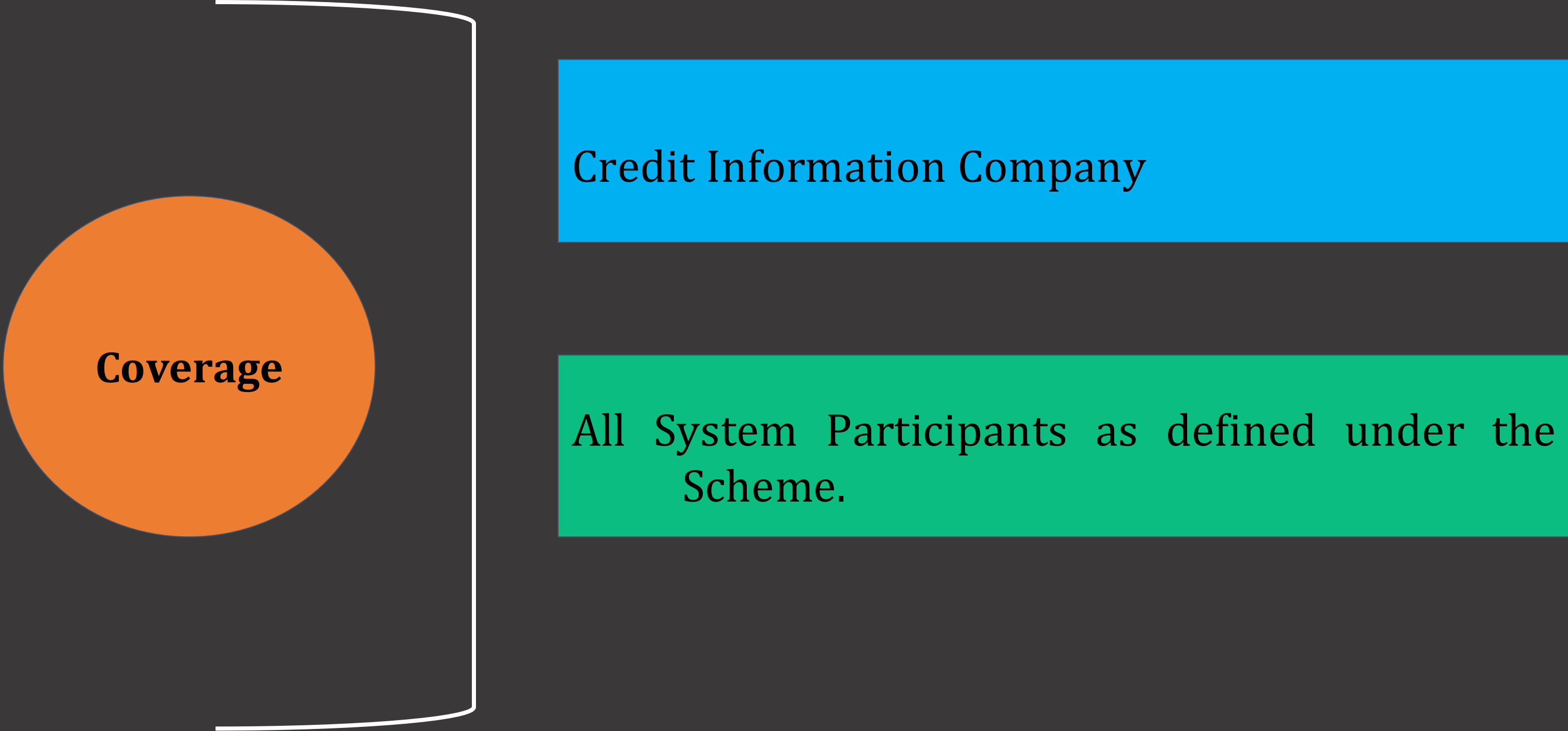
Deposits size : **Rupees 50 crore** ↑
In Audited B/s of PY



Coverage

All NBFCs

- ★ Authorized to accept deposits or
 - ★ Customer interface, with an assets size of Rupees 100 crore ↑
- In Audited B/s of PY**



Coverage

Credit Information Company

All System Participants as defined under the Scheme.

Appellate Authority: Executive Director in-charge of the Department of RB administering the scheme.

Regulated Entity: Bank / NBFC

Ombudsman - Appointment/Location of
Office/Est. of CRPC

RBI → Appoints One/More of its officers as Ombudsman

For a period of 3 yrs of time

Location of office at such place as
specified by the RBI

Centralized Receipt Processing Centre (CRPC)

Estn. by RBI

Complaint file should be made online

May also be made electronically / Physically

Any customer aggrieved by an act of omission of a Regulated Entity resulting in deficiency in service may file a complaint under the Scheme personally or through an authorized representative

If a complaint made by a customer to a 'Regulated Entity (RE)' is not resolved within 30 days, is the minimum period after its receipt by the RE may the customer make a complaint to the ombudsman

MSMED
Act,
2006

Came into force on 2nd Oct, 2006

For the promotion & development of Micro, Small & Medium industry

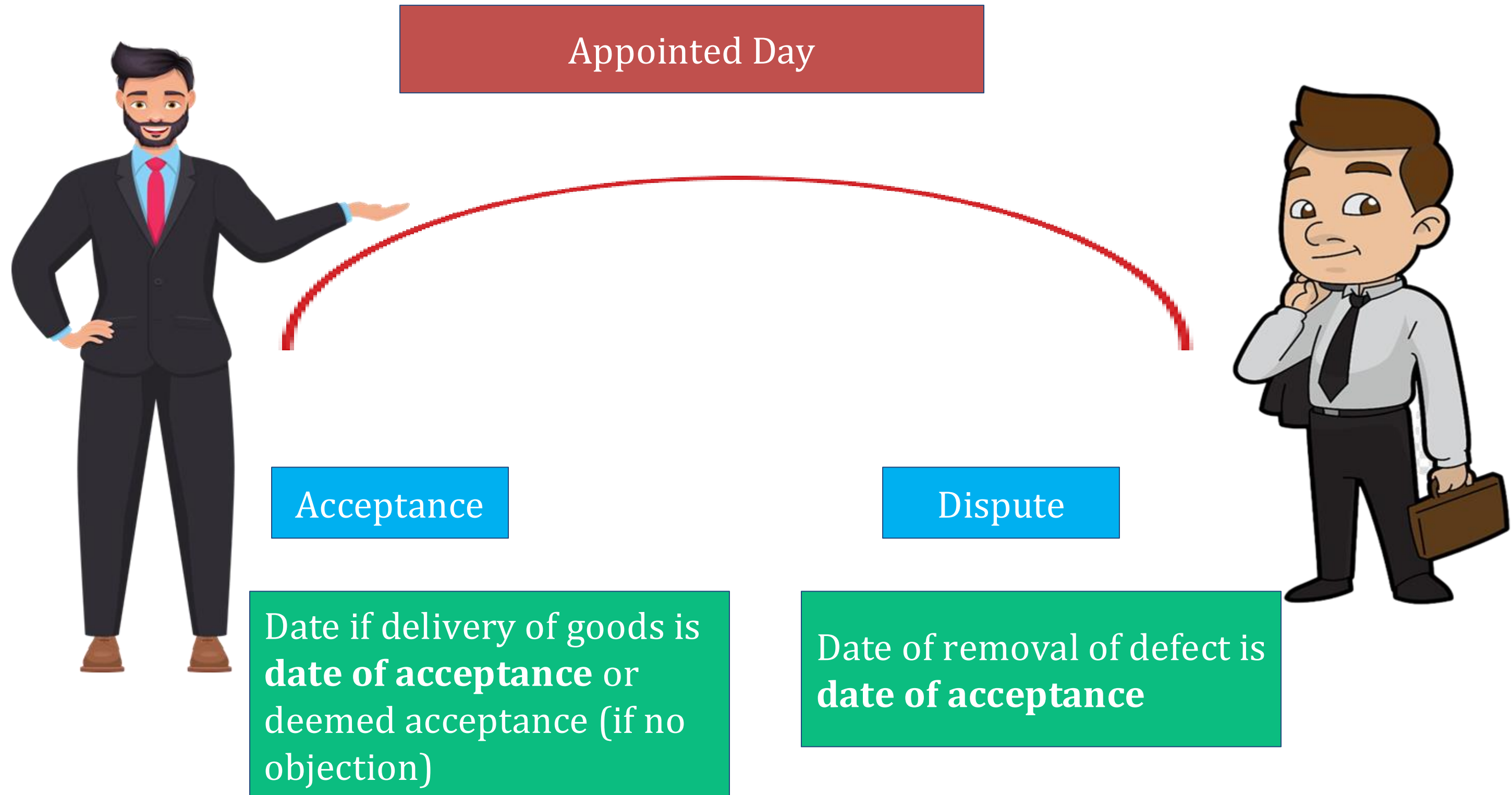
Manufacturing Industry: Manufacturing of goods pertaining to First Schedule of the Act

Service Industry: Provides/Renders Service

2 Oct, 2006



13th May,
2020



Appointed Day



Acceptance

Dispute

Date if delivery of goods is **date of acceptance** or deemed acceptance (if no objection)

Date of removal of defect is **date of acceptance**

Expiry of 15 days

Appointed Day

6 Chapters

Chapter I	Preliminary aspect like name of the act, Date of commencement etc
Chapter II	Setting up of National Board of MSMEs
Chapter III	Classification of enterprises
Chapter IV	Measure for promotion, development enhancement of competitiveness of MSMEs
Chapter V	Supportive measures to prevent delayed payments of MSMEs
Chapter VI	Miscellaneous Provisions like the appointment of Officers and other employees, levy of penalties etc

Central
Government

Establishe
s

National Board for
MSMEs

Functions of the Board

Examine Factors
affecting development of
MSMEs

Review policies made by
CG & give
recommendation

Advice CG on use of
Funds

India

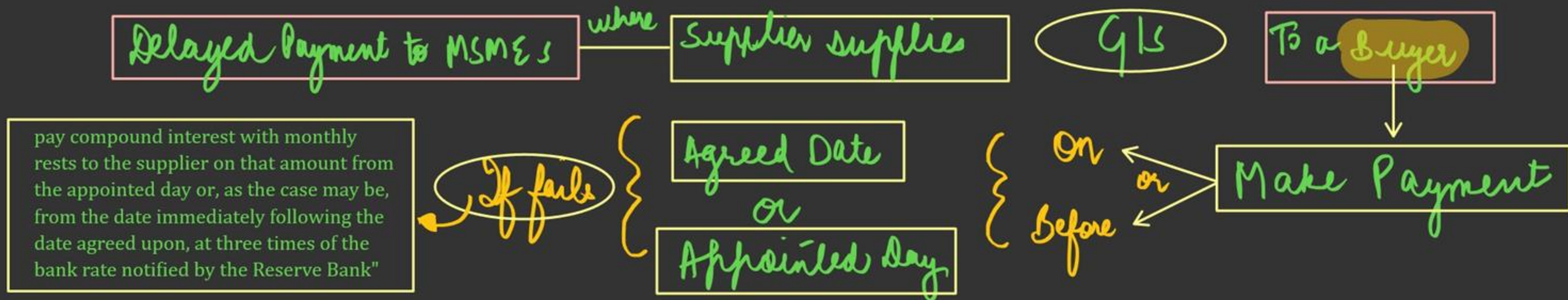
For Industrial Development

IDRA, 1951
Industrial
(Dev &
Reg) Act,
1951

MSMED
Act, 2006

Advisory Committee

The Advisory Committee usually comprises of
Five officers of the Central Government having experience in matters relating to
Micro, Small and Medium Enterprises,
Three representatives of State Governments and
One representative each from Micro, Small and Medium Enterprise associations.

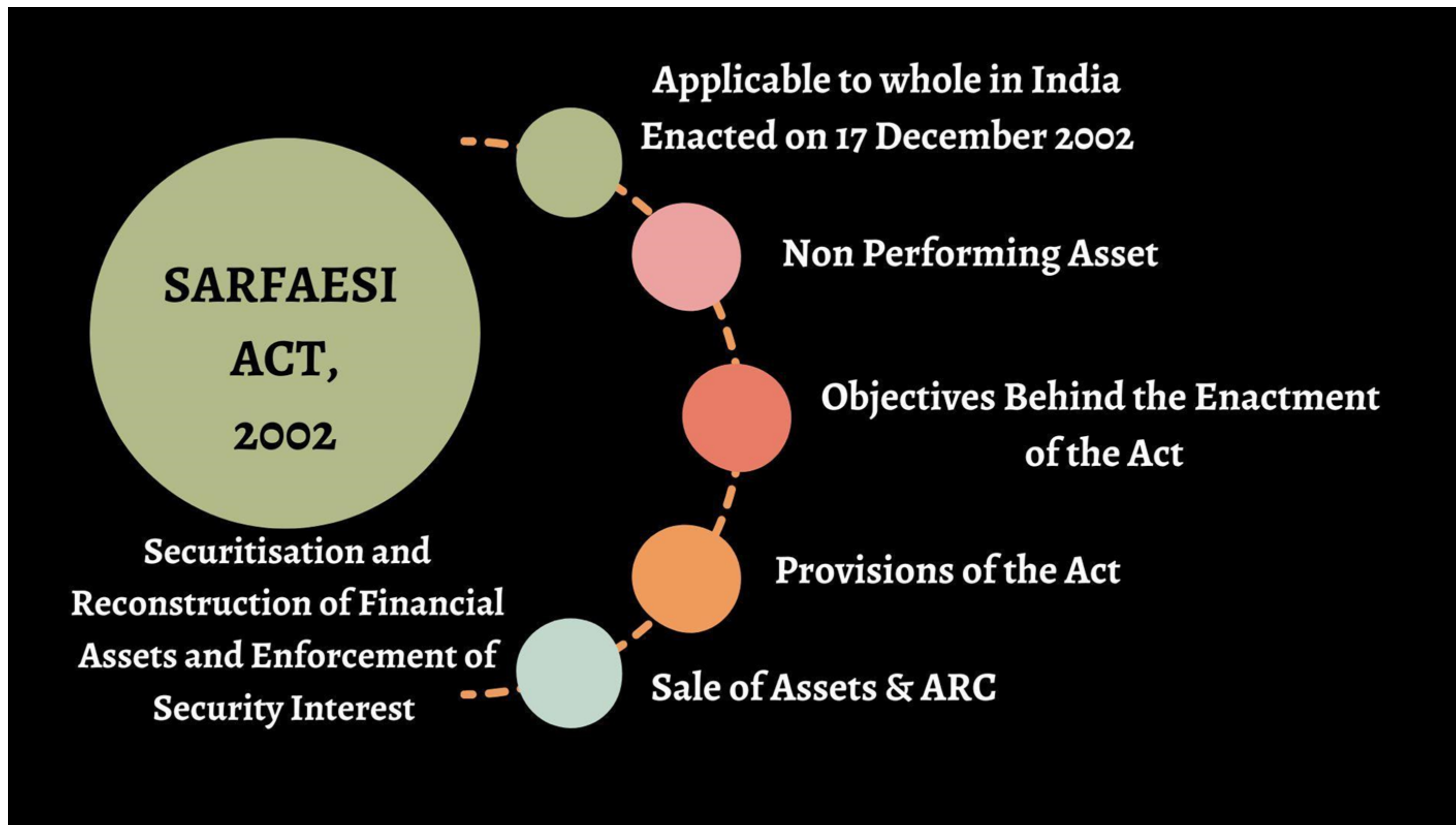


Provided that in no case the period agreed upon between the supplier and the buyer in writing shall exceed forty-five days from the day of acceptance or the day of deemed acceptance."

Answer in chat box:

Where an application is made to a court by a buyer for setting aside any decree or award made either by the Facilitation Council or by any institution or center providing alternate dispute resolution services, what percent of the amount of the decree/award is to be deposited with the court by the buyer?

- (a) 12.5%
- (b) 75%
- (c) 5%
- (d) 50%





Individuals



Companies



Assets



Profit



Assets



Example



Rs. 1,00,000/-



Rs. 1,10,000/-

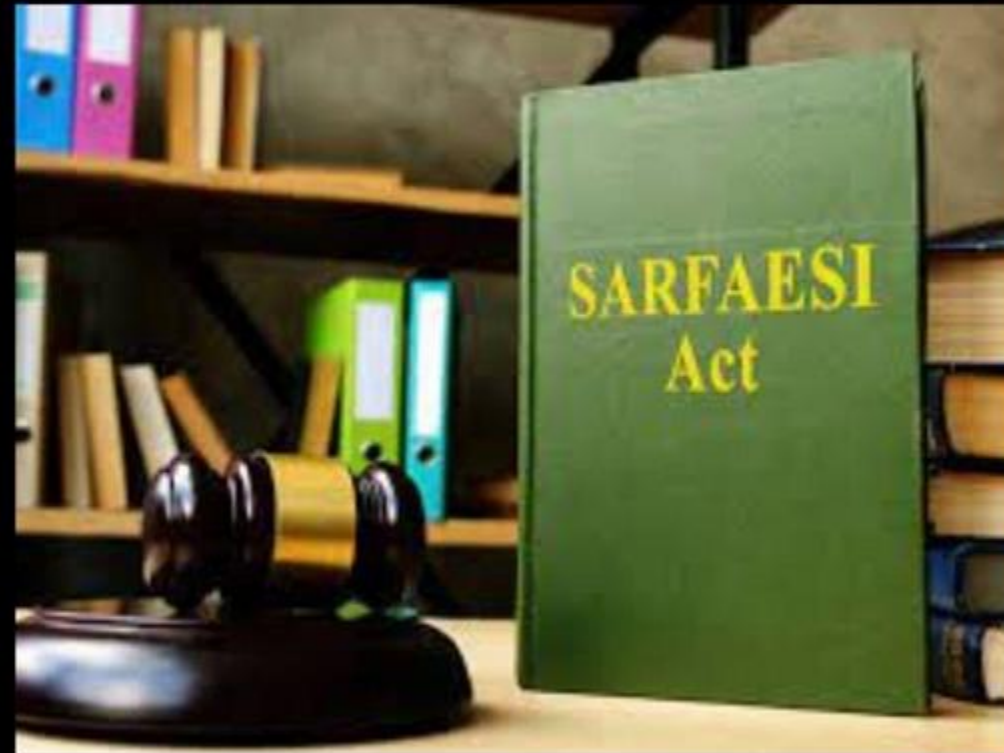


Rs. 10,000/-











**On Receipt of
Notice by
Borrower**



**Borrower raises
any objection**



**To the Secured
Lender**

Communicate

w/i 15 days

**DRT to declare steps
accordingly**



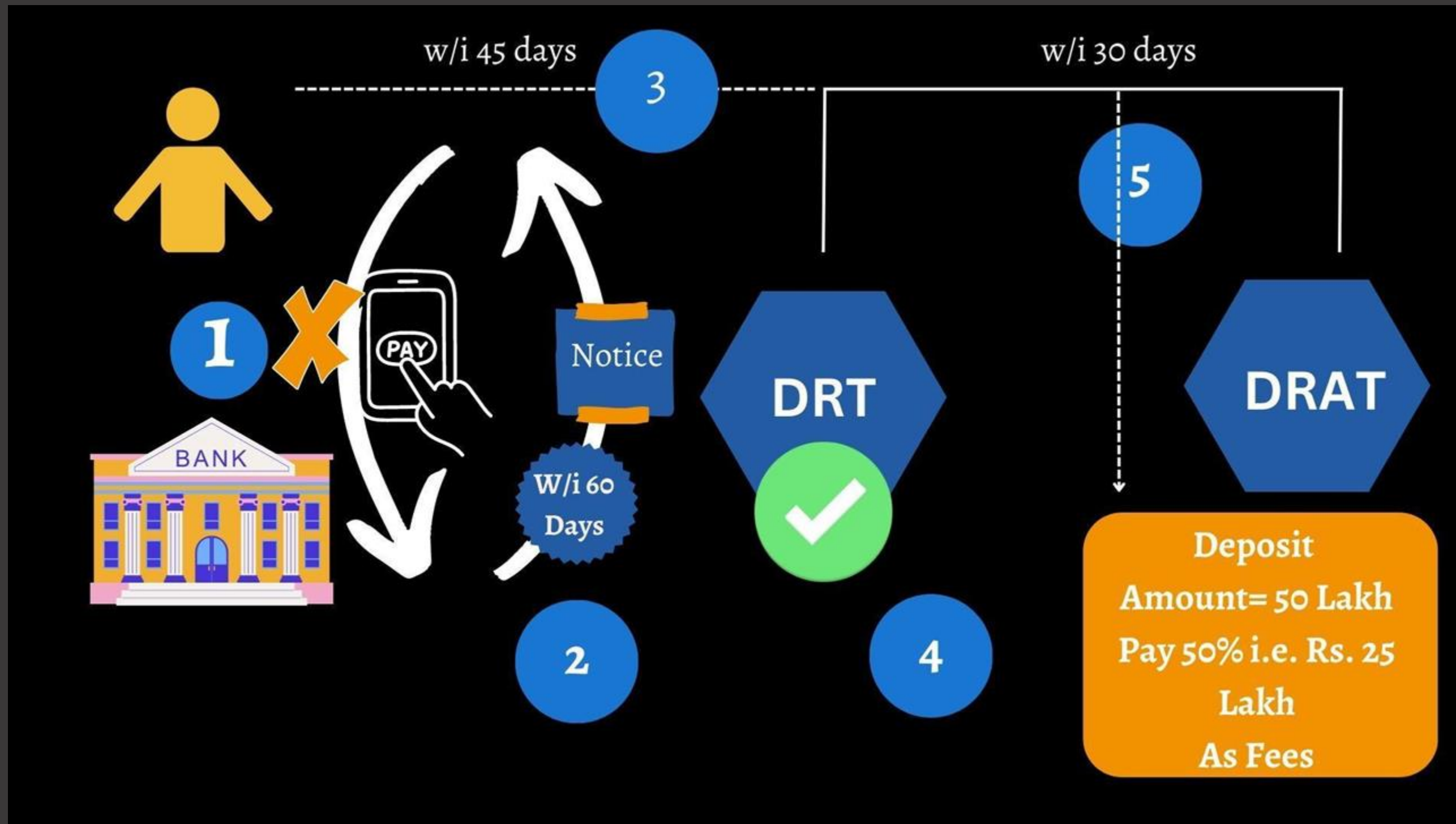
**Application by
Borrower to DRT**



**Objection is
not acceptable**



Appeal to DRAT against DRT



Appeal to DRAT against DRT

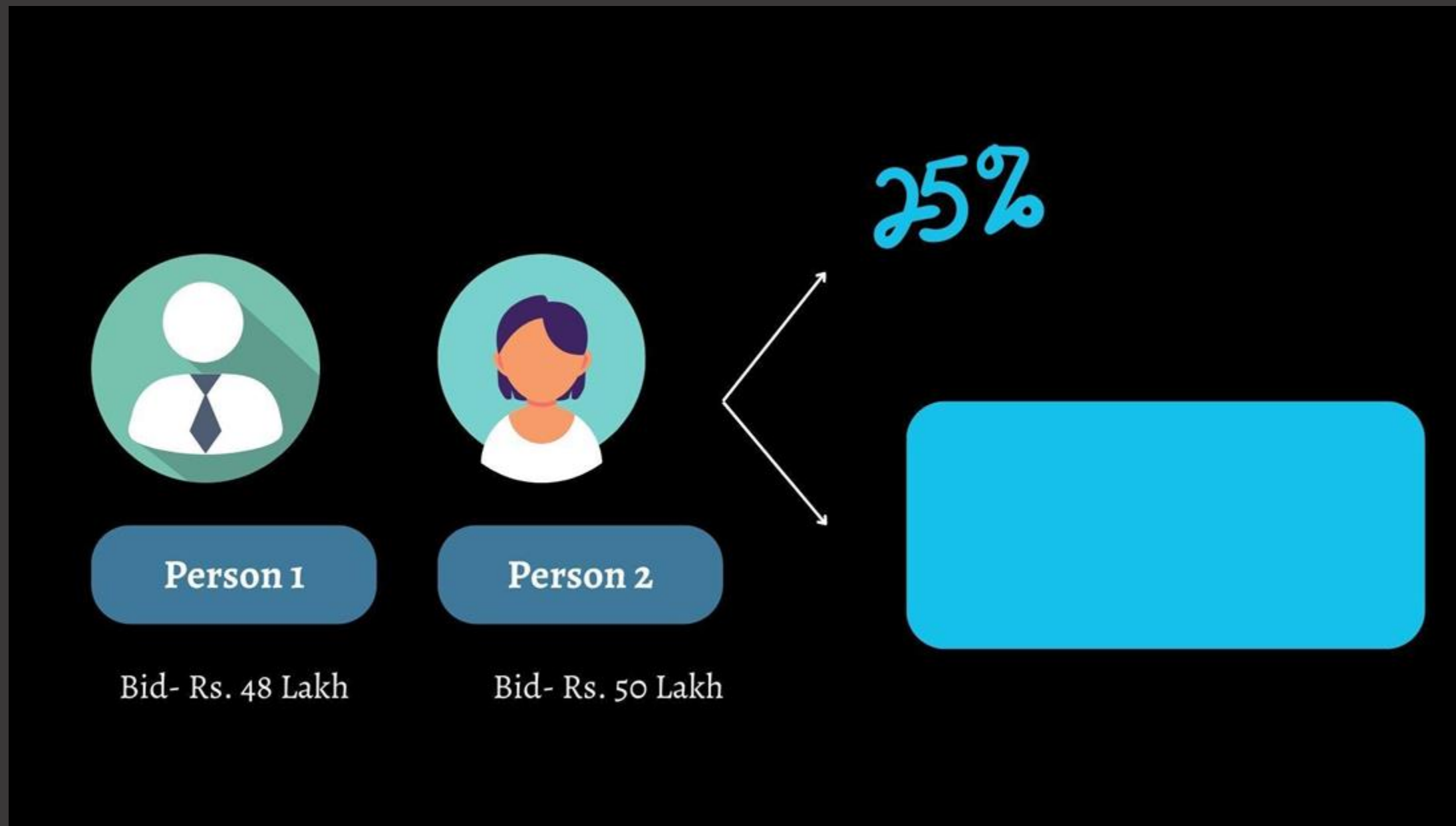
Appeal shall be entertained by Appellate tribunal within *30 Days* when borrower has deposited with DRAT 50% of the amount of debt due from him (As claimed by Bank or determined by DRT).

DRAT may reduce the amount to 25%

Sale of Asset

- ★ There should be public notices in Two Newspapers
- ★ Minimum 30 days notice to be given to the owner after taking the possession
- ★ Designated officer must be officer equivalent to chief manatee of a KB
- ★ Proper Valuation of both movables or immovable must be made
 - In case of movable Secured Assets authorised officer simply obtain the estimated value
 - For immovable assets valuation to be obtained from a valuer approved by Lender's' Board of Director
- ★ If price equal to reserve price not obtained asset can be disposed off at a lower price with the consent of both the borrower and lender except where the assets could have natural decay or where cost of possession might exceed the value of Sale.

Sale will be confirmed after deposit of 25% by the highest bidder. Balance shall be payable within 15 days of confirmation of sale.



Quick Revision of the Days

Notice Before Possession	60 Days
Reply to objection by Borrower	15 Days
Borrower can approach DRT against possession notice	45 Days
Appeal to DRAT against decision of DRT	45 Days
Notice before SALE	30 Days
Period of Balance Payment by the Buyer of Assets	15 Days

SARFAESI Act, 2002

Registration of ARC [Sec 3]

ARC

Net owned funds
≥ ₹ 100 cr / Higher prescribed

Plus

have Certificate of
Registration

Application in prescribed form &
manner to

RBI

shall inspect
& be satisfied

Conditions are complied with

- No loss in the preceding 3 years.
- Adequate arrangement for recovery
- Adequate experience of Director
- No offence involving

Acquisition of rights in financial assets

ARC

may acquire
F.A

of any Bank/
Institutions

By issuing debentures
has agreed

By an agreement
for transfer of condit-
agreements

Such doc. executed are exempt from the **STAMP DUTY**

ARC deemed to be lender & any right / title / interest by
lender in asset to SECURE Payment shall vest in ARC

Suits relating to financial assets may be continued

Notice to Obligator

Bank / Financial Institution

Transfer
financial
interest

Notice may be given
to obligator

Obligator will make
payment to ARC

Notice may not
be given to
obligator

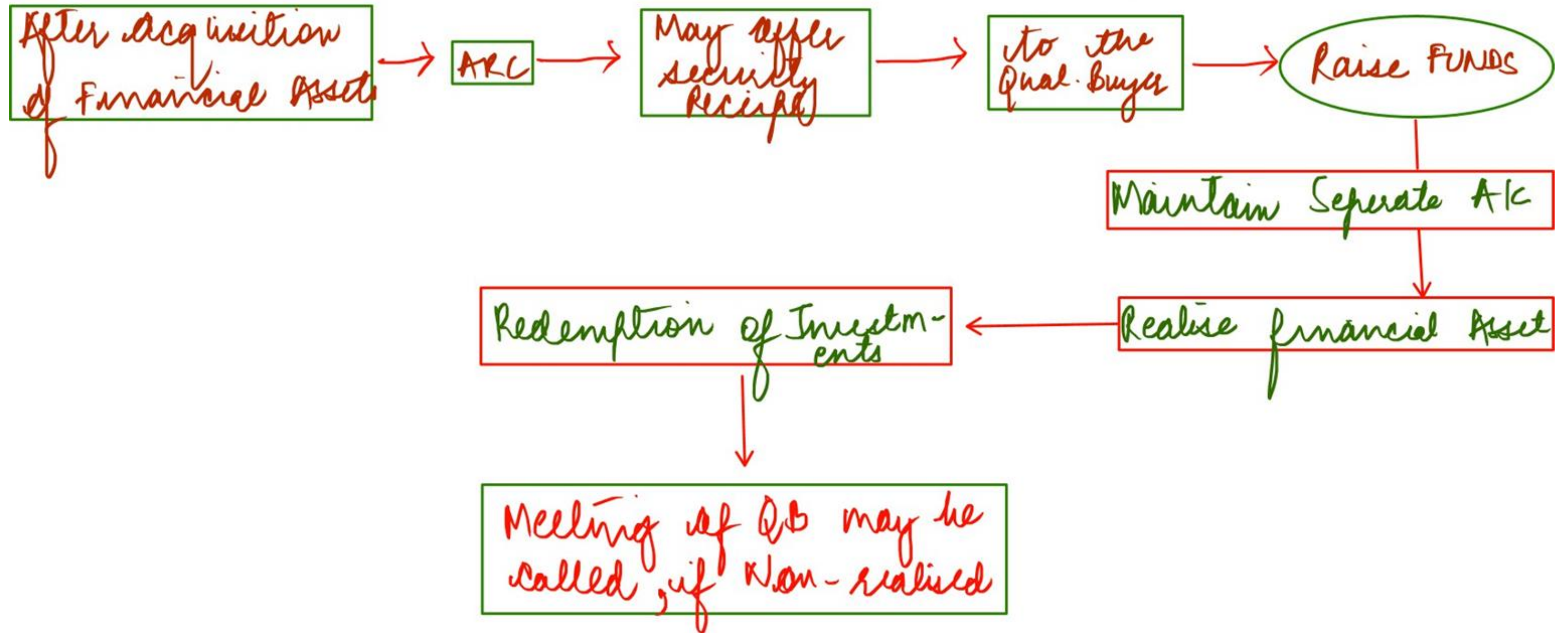
Obligator:

Payment
to
Bank

Hold the payment
in Trust of ARC

Transfer it to
ARC

Issue of securities by raising of Receipt



Measures for AR

AR C to take measures as per the policies of RBI

Eg: Change / Takeover in Mgmt
Sale / Lease
Rescheduling payment
enforcement of securities interest
settlement of dues
Taking possession
Conversion of debt into shares

Disputes to be resolved through ARBITRATION

Powers Available with RBI

Determine policy & issue directions

Call for settlement & info.

Carry out Audit & Inspection

Enforcement of Sec. Interest

Borrower Defaults
TNPA + Written
Notice 60 days

Amount Details of
Payment

Borrower

Payment

No Payment

Consequences

No rep / objection

Representation (Obj Raised)

Accepted

Rejected

Manner of Take over of Mgmt

Appoint as many Directors as needed

Give Notice
in
Newspaper

English

Vernacular

Director
shall vacate
office

Not be entitled to
compensation

Appeals

Bank took over Mgmt

Other secured creditors

Assigned

w/i 45 days

May appeal to DRT

Decide according
to the circumstances
& evidence

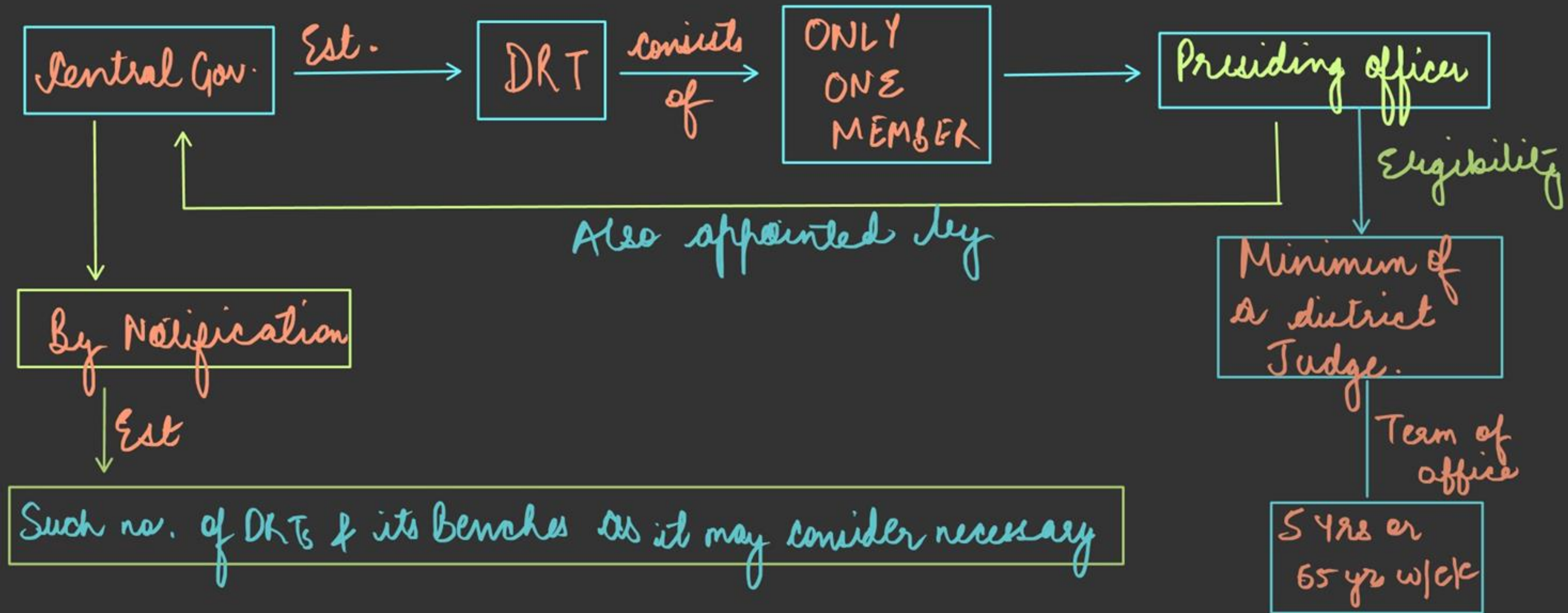
Whether Measures / consequences are in accordance
with the law or not

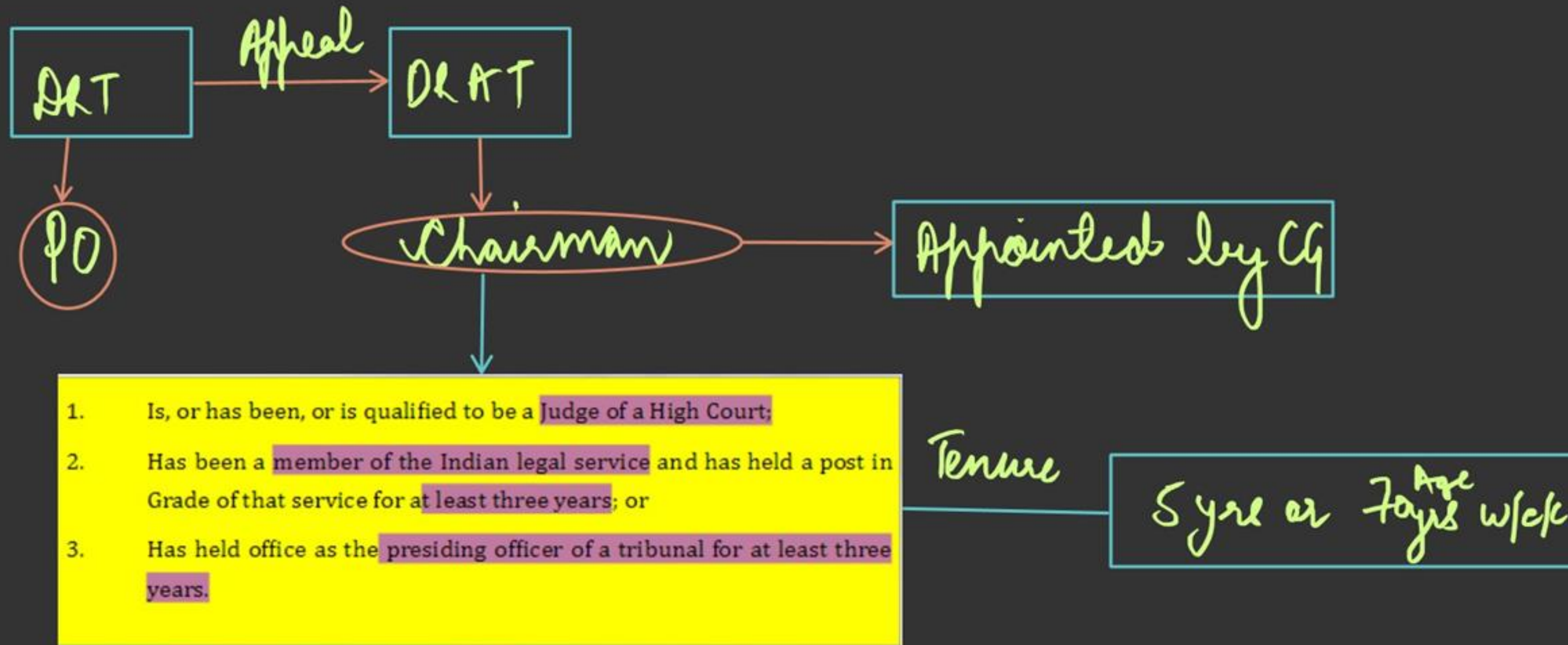
Yes

No

Unit 18 :

The Recovery of Debt & Bankruptcy Act, 1993





- No order of the Central Government appointing any person as the presiding officer of the tribunal or the chairperson of the appellate tribunal shall be called in question in any manner.
- The presiding officer and the chairperson can resign from the office by giving 3 months of notice period

Appointed Day

Whenever The Tribunal / Appellate Tribunal is est i.e the date from which they funⁿ

Is declared through a NOTIFICATION

Chairperson of Appellate Tribunal is given general power of superintendence and control over the Tribunals under his jurisdiction.

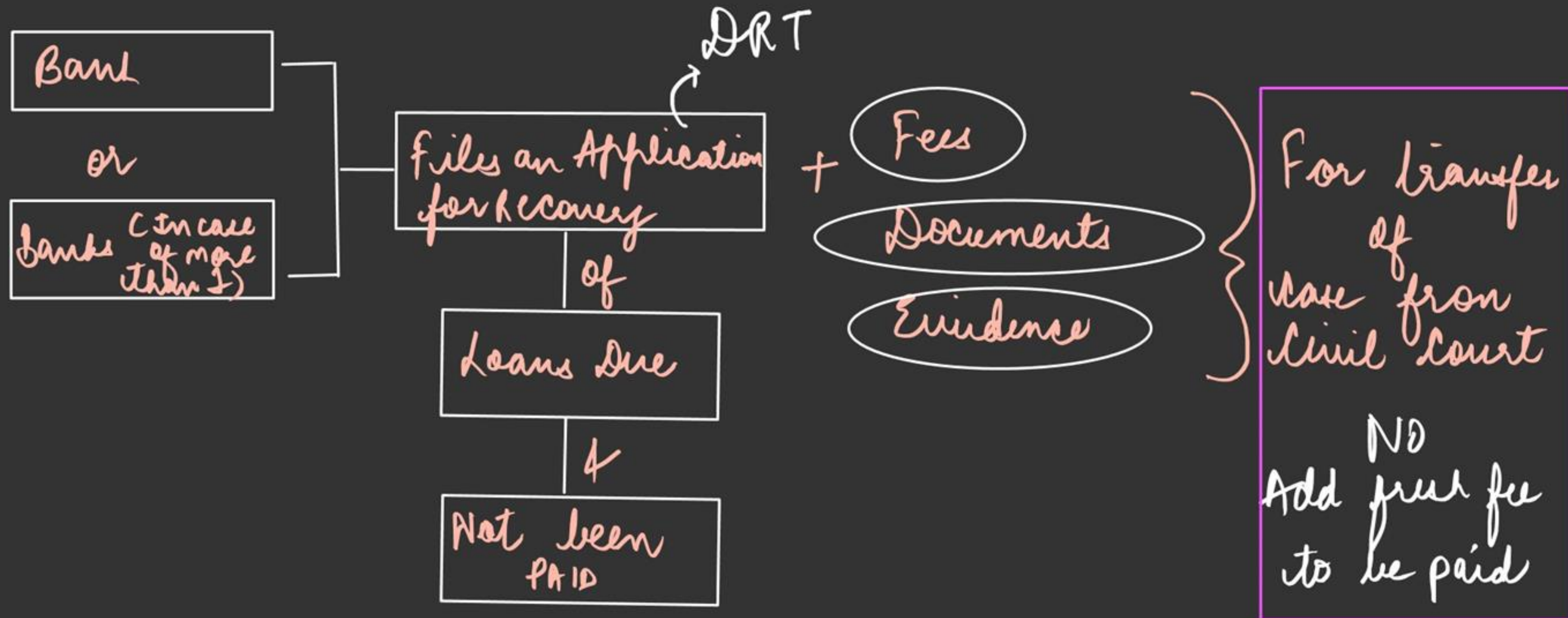
The chairperson can transfer any application from any Presiding Officer within his jurisdiction to any other Presiding Officer within his jurisdiction, on receiving application for transfer of case or even on his own motion.

Note:

A decree passed by the foreign court can be executed by the Tribunal

For the matters for which the Tribunals are empowered the Civil Courts have no jurisdiction.

Procedure & Powers to the Tribunal & Appellate Tribunal



Appeal

DRT

w/i
30 Days

DRT

Deposit
50% amt
determined by DRT

Can be reduced to 25%

can be entertained after 30 days if
DRT is satisfied by the
cause of delay

shall be dealt
expediently

4

should attempt
to dispose w/i
6 months from the
date of Appeal

Note!

The application must normally be filed by the bank or the financial institution within three years from cause of action.

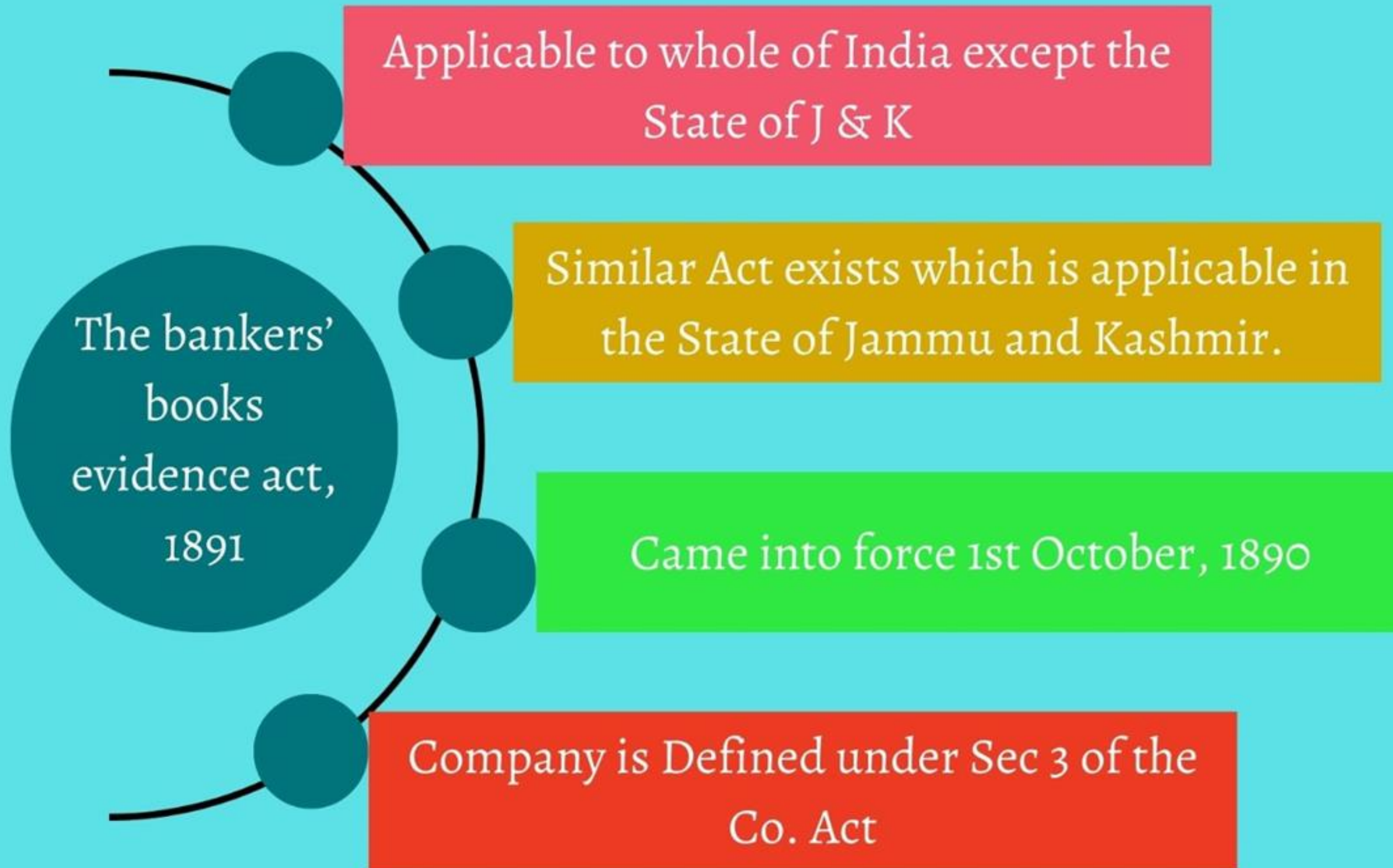
Modes of recovery of debts

- (i) Attachment and sale of movable and immovable property of the defendants;
- (ii) Arrest of the defendant and his detention in prison;
- (iii) Appointment of a receiver for the management of the movable and immovable properties of the defendant.
- (iv) Taking possession of property over which security interest is created or any other property of the defendant and appointing receiver for such property and to sell the same; (Section 25 aa)
- (v) Any other mode of recovery as may be prescribed by the Central Government. (Section 25d)

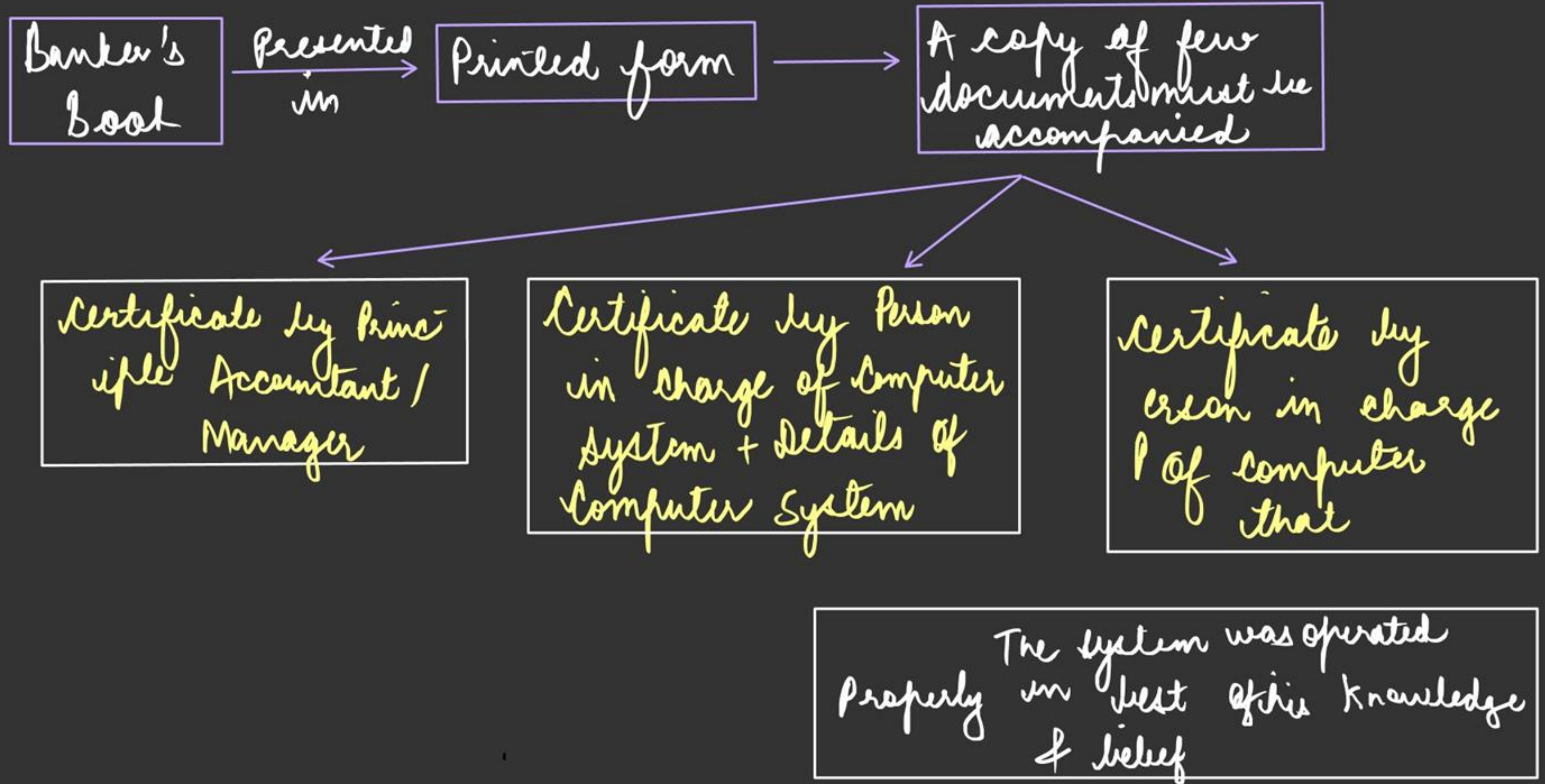
Note:

- * Defendant is debarred from disputing the correctness of amount given in recovery certificate.
- * The PO can correct the clerical / Arithmetic errors
- * Chairperson & PO are deemed to be public servants

Banker's Book Evidence Act, 1891



Conditions in the printout



Note:

Section 2 of the Bankers 'Books Evidence Act 1891, defines the main terms pertaining to the statute and have been covered in the unit.

When the books of bank are produced in a printout form, it is to be accompanied by a certificate as detailed in Section 2A.

Similarly any record of the Bank required by a Court has to be accompanied by certificates as brought out in the statute.

When data is stored in computer form, a certificate from person in charge of the computer system is required.

Certified copy is a prima facie evidence and admissible in evidence as if original is produced.

On production of certified copy no further evidence is required.
In any proceeding where bank is not a party and certified copies are produced bank's officer cannot be called as witness as copy is admissible evidence.

Court can order inspection of books of accounts.

The orders for inspection of books must give three clear days for the bank to arrange for inspection.

Court has discretion to award costs for any application under the Act.



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